Home Comfort Operating Benchmark

SUBVERTICAL LENS	
	Installed residential equipment and protection plans convert essential household needs into recurring monthly billing. Pricing, premium-equipment mix and cross-sell support growth, while equipment exchange and reinstallation remain the central sustaining-capital burden.

METRIC	ESTIMATE	ASSERTION	CONFIDENCE
Revenue growth	**5%**	A 5% estimate sits below Enercare's 6% revenue growth in 9M 2018, when units grew only 0.6% and pricing and mix did most of the work. Reliance's low-single-digit customer growth before acquisitions also supports a mature organic rate below the disclosed Enercare result.	MEDIUM
EBITDA margin	**53%**	A 53% estimate sits just below Enercare's disclosed 56% margin. Recurring water-heater rentals carry strong contribution, while Reliance's broader HVAC, technician, dispatch and transactional-service mix should dilute the pure rental result.	MEDIUM
Maintenance capex / revenue	**12%**	The 12% estimate reflects recurring equipment replacement, removal and reinstallation: Enercare exchanged 33,600 assets in 9M 2018 and found used water heaters uneconomic to redeploy, while Reliance cites 14-16-year equipment lives. Neither company provides a clean sustaining-capex split.	MEDIUM
Customer tenor INITIAL / EFFECTIVE	Initial / effective **7-10 / 18 yrs**	Certain Reliance Ontario forms support a 7-10-year initial term. The 18-year effective tenure is a normalized assumption because billing can continue monthly, equipment can be replaced at the same address and Enercare reported 1.9% rental attrition over nine months; it is not an observed cohort life.	MEDIUM
Utilization exposure	**Low-Moderate**	Exposure is Low-Moderate because an installed unit earns fixed monthly rent regardless of household usage. The residual risk is account vacancy, equipment removal and seasonal technician or installer capacity rather than consumption volume.	HIGH
New-unit / customer payback	**8 yrs**	An eight-year estimate triangulates Reliance's C$1,000-C$5,500 installed cost against C$20-C$100-plus monthly rent, then allows for installation, service and replacement reserves. Direct unit contribution is undisclosed.	MEDIUM
B2B vs B2C	**Predominantly B2C**	The model is predominantly B2C because roughly 95% of Enercare's rental portfolio was residential water heaters and Reliance primarily markets to homeowners. Builders and property managers may originate accounts, but households remain the economic center.	HIGH

Directional framework shown where a point estimate is unsupported.

Home Comfort Operating Benchmark

SUBSECTOR CATEGORIES	**Diversified home comfort**	**Rental-led equipment & plans**
	Reliance Home Comfort	Enercare

Reliance Home Comfort

DIVERSIFIED HOME COMFORT

Reference data. Acquired in 2017 for about C$4.6 billion, Reliance grew from 1.8 million customers to 2.1 million by end-2023 before two 2025 U.S. acquisitions. Its mix extends beyond rentals into HVAC, water purification, plumbing, electrical, smart-home and one-time services. Ontario materials show 7-10-year minimums; one offer continues month-to-month after year 10, with 14-16-year heater lives. Current offers show C$1,000-C$5,500 installed purchase costs and C$20-C$100+ monthly rent, with installation, repair and replacement included. Homeowners are the core customer; direct unit contribution and sustaining capex are undisclosed.

Business. Reliance Comfort Limited Partnership serves more than 2 million customers, mainly in Ontario, with reported western Canadian, Georgia, and Florida operations. It rents and sells water heaters and HVAC and offers water purification, plumbing, electrical, smart-home, and protection plans. It solves urgent hot-water, heating, and cooling needs without upfront purchase or surprise repair risk.

Economics. The core unit is an installed asset at a residential address; plans and one-time jobs are separate units. Reliance funds equipment and installation, retains ownership, bills monthly, provides repair and replacement, and operates technicians, dispatch, and call centers. Essentiality, installation, budget smoothing, transfers, and replacement convenience support retention; moves, buyouts, switching, poor service, repricing, purchase, and technology migration drive churn. Used water heaters have limited redeployment value, so the address relationship is the key residual asset.

Enercare

RENTAL-LED EQUIPMENT & PLANS

Reference data. In 9M 2018, Home Services revenue grew 6% to C$359.8 million; contracted revenue was C$332.0 million, EBITDA was C$201.4 million (56%), units grew 0.6%, average monthly rent rose from C$24.35 to C$25.50 and 33.6 thousand assets were exchanged. Rental attrition was 1.9% versus 9.3% for plans. About 95% of rentals were residential water heaters, which were almost never economical to refurbish and reinstall. HVAC rentals generated three to five times heater revenue; sustaining capex and current segment data are unavailable.

Business. Enercare is an Ontario-centric platform serving about 1.1 million customers. The relevant business is Home Services, excluding former Service Experts and submetering. It rents water heaters, HVAC, and water-treatment equipment, sells plans, and performs equipment sales and service, offering predictable cost and outsourced continuity for essential systems.

Economics. The core unit is an installed rental unit, about 95% residential water heaters historically; plans and one-time HVAC jobs are separate. Rentals were 73% of 2017 revenue and plans 20%. Heaters require little scheduled maintenance; HVAC and plans use more field labor. Ownership, installation, response, and buyout or useful-life terms support retention; moves, buyouts, switching, repricing, and poor service cause churn. Used water heaters are replaced rather than redeployed, making exchanges sustaining capital and allowing relationships to continue through replacement.